

almost feels like cheating the laws of risk-reward. After all, we've already learned that the more rewarding an asset is, the riskier it likely is. But with a portfolio we are not talking about a single asset but rather a group of them. It is the way in which a new asset behaves with the preexisting group of assets in a portfolio that is the key to both reducing risk and increasing returns.

CRYPTOASSETS AS THE SILVER BULLET OF DIVERSIFICATION

Most people would reasonably expect that if they added bitcoin to their portfolio it would increase the absolute returns but it would also make the portfolio significantly riskier (more volatile). However, it's important to remember that bitcoin's propensity toward volatility proved true early in its life when volume was low (thin). In contrast, the past few years have been more nuanced: bitcoin's volatility has calmed, yet it retains a low correlation with other assets. In some years, bitcoin even provided the magical and elusive combination mentioned above of increasing the returns while also decreasing risk within a portfolio.

The question is how bitcoin's low to negative correlation with other capital market assets would have affected the volatility of a portfolio in which it was included. To perform our analysis, let's use the definition of a *moderate investor* laid forth by the American Association of Individual Investors (AAII).¹³ Per the AAII, a moderate investor allocates 70